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US Rates Strategy

Remain long 20s after Chair Warsh's speech

CITI'S TAKE

In our view, Chair Warsh was trying to strengthen the credibility of the FOMC with his speech at Jackson Hole today. However, we disagree that he is setting up a hike for September. We continue to see longs in the 20y point as the best risk/reward.

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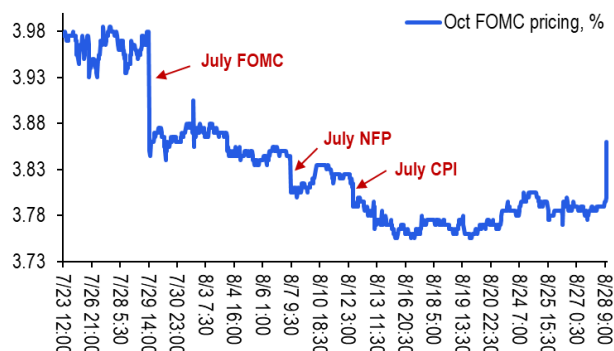
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Fed Chair Warsh's speech today at Jackson Hole was more hawkish than we expected (see [US Rates Weekly - Can Secretary Bessent and Chair Warsh save the curve?](#)). He revealed that core PCE and the unemployment rate are the two inputs to his reaction function. This is important, since UR has fallen in line with the participation rate, which is leaving little job creation. He noted the recently weaker NFP prints were a function of "labor supply barely growing" and that "labor markets are consistent with full employment". This is a powerful statement, in our view, and explains why the front-end rally from the weaker jobs print earlier this month is now being reversed (Figure 1). He also pushed back on moderating wage growth, which has been one of our arguments for why the Fed should not hike, stating that it has "not proven a reliable indicator of future inflation for a very long time".

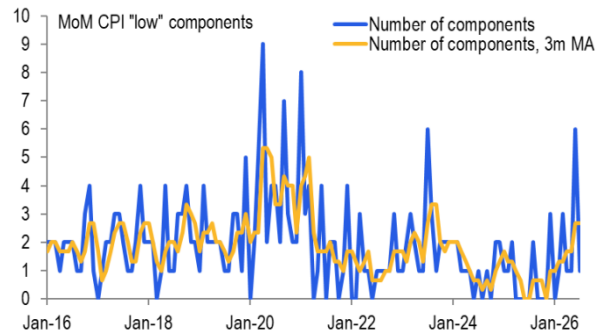
On inflation, he highlighted that "the Fed's predominant focus right now should be on prices" and that "inflation is running above our 2 percent target". He also pushed back on the recent inflation prints, stating that "while this summer's PCE and CPI readings were better than expected, they do not tell me that underlying trends have meaningfully improved". However, he did highlight that inflation expectations were contained in the medium term and "look stable", which is backed up by the inflation swap market. Interestingly, he highlighted that over the last six months about 49% of the 199 individual components of the PCE price measure showed price increases above 3% annualized. This emphasis on disaggregated inflation measures undermines the importance of components like shelter costs, which have a significant weight in the overall index. Continued decline in overall inflation anchored by decreasing shelter inflation is the core idea behind our thesis that the Fed does not have to hike this year.

Figure 1. We do not expect front end hike expectations to exceed levels seen right after July FOMC.



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Source: Citi Research, Bloomberg

Figure 2. More components in the CPI basket are moving towards lower inflation in recent months.



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Note: We define low components as components in which MoM inflation is below two standard deviations from their mean.

Source: Citi Research, Bloomberg, BLS

In our view, Chair Warsh was trying to strengthen the credibility of the FOMC, especially after the price action at the July meeting. We do not think he is explicitly guiding for a September hike as he was explicit that his speech was not forward guidance. More importantly, all of the above factors were also true at the July FOMC meeting where he did not support a rate hike. Indeed, at the June FOMC, he stated that inflation had missed their inflation target for 63 months, which is now up to 65 months, as he stated today. The FOMC will also have the August PPI and CPI print before the September FOMC, which means they can infer the core PCE print. Indeed, on a disaggregated basis, there are signs CPI inflation is slowing. In Figure 2, we replicate a simpler but similar methodology that Warsh references, except on CPI. Here, we look at MoM inflation in 48 underlying components. In recent months, there has been a pickup in components in which MoM inflation has fallen below two standard deviations from their historical mean (Figure 2). We believe he is providing a general framework that implies a higher chance of future rate hikes should inflation not normalize. In our mind, this puts late Whites and Reds more at risk than September or October. Our modal outcome for a Fed on pause for this year continues to make sense to us. Note: Futures trading involves substantial risk of loss.

Last week, we bought 20y bonds as we saw a better risk/reward than in the front-end, which remains exposed to near-term data and uncertainty around Chair Warsh's reaction function (pricing is 97-22 as of 11:30am on 8/28/26; [US Rates Strategy - Getting long 20y after today's buyback announcement](#)). We continue to like being long the 20y point, which now has the new Treasury "put" on top of our expectation for pension fund demand if 30s retest 5.3%. To be clear, we think a large rally in the 20y is only likely in a world where inflation is normalizing and real money can once again extend out further in the curve, but the point remains protected as any front-end selloff is likely to be a flattener. We do not think 20s will selloff materially if Warsh remains on pause at the September FOMC. Presumably, a pause would be due to another 'soft' CPI print, which should not put upward pressure on 30y yields. We also remain received the October FOMC meeting in swaps (pricing of FFX6 is 96.145 as of 11:30am on 8/28/26; [US Rates Strategy - FOMC takeaways](#)). Note: Futures trading involves substantial risk of loss.

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